

European Cross-Commodity Risk Pack: Gas + Carbon □ Power Curve Implications

Daily desk brief — 2026-05-07

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Generated by `scripts/generate_brief.py`. AI narrative + news themes via Anthropic Claude.

□ **Data-freshness caveat:** Clean Dark (last 2025-12-31, 127d old); Coal (last 2025-12-26, 132d old). Numbers below should be read with this in mind.

1 · Executive summary

TL;DR — Clean Spark at 92nd percentile signals sustained thermal strength; EU storage 12.5 pp below seasonal average underpins tight gas outlook despite Hormuz-driven LNG risk premium.

Clean Spark at the 92nd percentile (38.42 EUR/MWh) signals sustained thermal in-the-money positioning, anchored by tight EU gas despite TTF trading mid-range; storage sits 12.5 percentage points below seasonal at 34.4% full, and the Strait of Hormuz closure continues to underpin the LNG supply risk premium. Renewable collapse to the 18th percentile (27% of load, down 33% day-on-day) is forcing thermal dispatch to swing, though stale coal data 132 days old masks the true merit-order slope and means current fuel-switch economics should be cross-checked against live thermal indices. Carbon at EUA 32.01 EUR/t (29th percentile) is passing through cleanly on the gas-tight regime. The confluence of gas tightness, subdued carbon, and extended clean spreads anchors the curve in a compressed thermal-led regime where any LNG supply normalization or storage recovery would flip merit order.

Generated by **claude-haiku-4-5** via Anthropic API (two-pass extract □ narrate). Prompts/responses logged to `ai/logs/`.

2 · Monitor metrics

Primary (cross-commodity headline tiles)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
TTF Gas	2026-05-06	43.90	EUR/MWh	-6.44%	+2.80%	57	Within typical range
EU Storage	2026-05-07	34.40	% full	+0.41%	+4.15%	11	12.5 pp below the 5-yr seasonal average
EUA Carbon	2026-05-06	32.01	EUR/tCO2	-0.68%	+2.17%	29	Within typical range
DE Power	2026-05-08	138.00	EUR/MWh	+1.42%	+143.83%	76	Within typical range
GB Power	2026-05-07	111.78	EUR/MWh	-8.29%	+20.13%	84	Within typical range
Renewables	2026-05-07	27.07	% of load	-32.82%	-41.24%	18	Within typical range
Clean Spark	2026-05-08	38.42	EUR/MWh	+1.94	+78.55	92	92th-percentile of 5-yr range — historically high

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Clean Dark	2025-12-31 STALE	27.95	EUR/MWh	-0.56	+11.63	50	Within typical range

Fundamentals inputs (*feed derived metrics; not separately traded*)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Coal	2025-12-26 STALE	96.00	USD/t	-0.57%	+0.08%	8	8th-percentile of 5-yr range — historically low

Spreads $\square$ abs EUR/MWh deltas; others $\square$ pct. Weekly Δ uses 5d trailing means. Full history in `data/<metric>.csv`.

3 · Gas + LNG arb

TTF front-month prints at 43.90 EUR/MWh — *Within typical range*. **EU storage** at 34.4% full (-12.5 pp vs 5-yr seasonal avg) — *12.5 pp below the 5-yr seasonal average*.

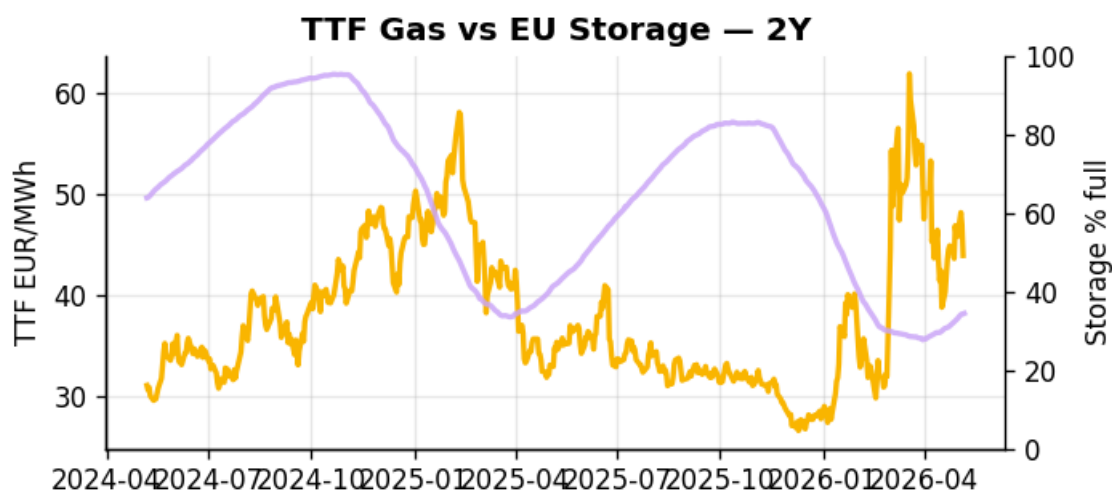


Figure 1: Gas vs Storage

4 · Carbon (EU ETS)

EUA December prints at 32.01 EUR/tCO₂ — *Within typical range*. A euro of EUA adds ~0.37 EUR/MWh to gas-fired and ~0.85 EUR/MWh to coal-fired generation cost; strength compresses the dark spread faster than the spark.

Supply / policy signal — *CBAM full operational phase live since 1 Jan 2026 — importers paying for embedded emissions*
Side: policy · Polarity: bullish EUA · Source: EU Regulation 2023/956 (CBAM)

Domestic carbon-cost burden gradually levelled with imports; supports EUA demand floor as carbon leakage protection tightens through 2034.

No ETS-relevant news surfaced today — falling back to data/policy_facts.py (hand-maintained structural fact pack). Fact pack last reviewed 2026-05-07 (0d ago).

5 · Power — Day-Ahead & curve

DE day-ahead baseload at 138.00 EUR/MWh — *Within typical range*. **GB day-ahead baseload** at 111.78 EUR/MWh — *Within typical range*. **DE – GB spread** at +26.22 EUR/MWh (DE premium) — drives interconnector flow direction.

Clean spark spread at +38.42 EUR/MWh — *92th-percentile of 5-yr range — historically high*. This is the bridge from gas + carbon fundamentals to gas-fired plant economics; sustained positive spark = gas is in-the-money and TTF moves transmit directly into the power curve.

The dark spread (and any coal-vs-gas merit-order claim) is suppressed this morning: coal data is 132 days old (last 2025-12-26), so the merit-order signal is indicative not current. Spark alone carries the regime read above.

DA / Cal+1 (model) at 138.00 / 91.15 EUR/MWh; spread +46.85 EUR/MWh — **backwardation**. Front absorbs storage and outage shocks; Cal+1 reflects the structural carbon-and-fuel trajectory. Cal+1 here is a backward-looking seasonality projection — see Methodology.

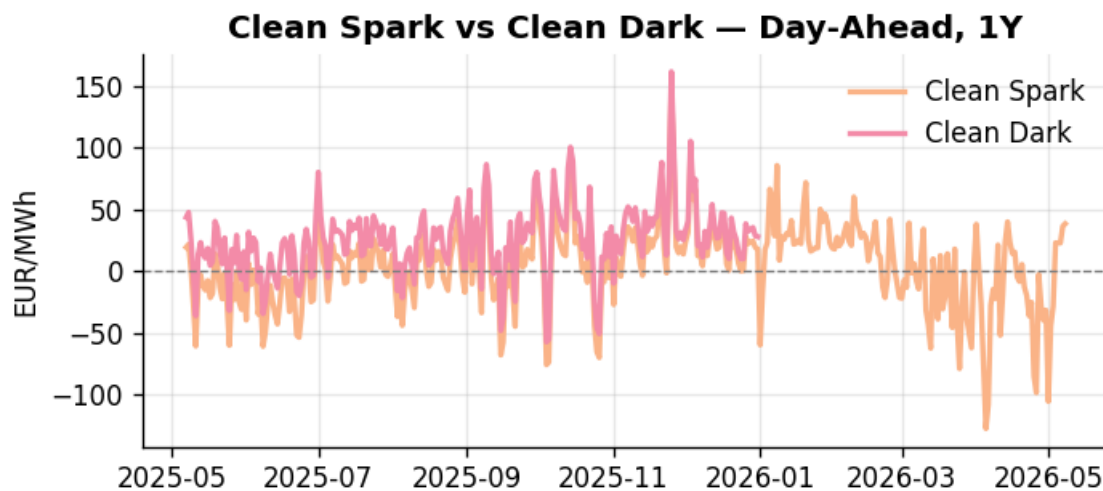


Figure 2: Clean Spreads

6 · Short-term drivers

DE wind + solar forecast at 27.1% of load — *Within typical range*. Largest day-ahead price driver after gas: high share compresses the residual-load curve and pushes prices down (or negative); low share lifts gas-fired plants into the merit order, making TTF + EUA the binding constraint.

7 · Today's themes

Backdrop: Strait of Hormuz closure since late February sustains LNG supply risk; EU gas prices diverging from US as Middle East disruption constrains global LNG.

Watchlist (1–4 weeks) - Monitor Strait of Hormuz reopening risk; any resolution would immediately ease LNG supply to EU. - Track SPR drawdown pace; accelerated releases could further weaken crude/LNG price support. - Watch US-EU LNG arb spread (TTF vs Henry Hub); widening confirms supply bottleneck.

*3 structured themes (tag · commodity · polarity · why) in data/ai_news_themes.json — generated by **claude-haiku-4-5** from 6 headlines.*

8 · Methodology

See **README §Methodology** in the repo for sources, plant assumptions, formulas, signal thresholds, AI workflow, and the policy fact-pack used for Section 4. Every number above is auditable via the snapshot JSONs in this directory.

Observations are rule-based and informational, not investment advice.